



# 5.1%

Corporate profit-to-GDP ratio of listed India Inc as of March 2025, which was the 14-year high

# ₹3 LAKH CRORE

The value of projects completed by the public sector in FY25. The figure stood at ₹2.7 lakh crore for the private sector

# 6.78

The interest coverage ratio of India Inc in FY25, up from 3.77 in FY20, according to Bank of Baroda's economics research department

# ₹44 LAKH CRORE

The gross debt of India Inc (ex-BFSI) in FY25, down 45% compared with ₹80 lakh crore in FY22, and around ₹35 lakh crore in FY20

**IN SPITE OF GEOPOLITICAL** tensions, inflationary pressures, global tariff war ignited by US President Donald Trump and tepid urban demand, corporate India is in a good shape on the most important parameters—balance sheets, profitability and credit quality. Companies listed on the domestic bourses reported a record net profit of nearly ₹17 lakh crore in the previous financial year on highest-ever gross sales of almost ₹180 lakh crore compared to consolidated profit and gross sales of ₹15.2 lakh crore and ₹165 lakh crore, respectively, in FY24.

However, the profits were driven by cost control and lower capacity utilisation. Capital expenditure (capex) was primarily driven by the government, while private capex remained subdued, five years after the government reduced the corporate tax rate from 30% to 22% if the company does not avail any tax exemption or incentive. Yet, key financial metrics indicate India Inc emerged resilient in FY25.

While sales growth slowed to 7.7% in FY25 (from 8% in FY24 and double-digits before), several indicators—from net profit margins to debt ratios—suggest that Indian corporates are well-placed to navigate global headwinds. The corporate profit-to-GDP ratio was at a 14-year high of 5.1%, compared to 5% in FY24 and 4.4% in FY23.

“Corporate earnings, as a percentage of GDP, are on an upward trend. Indian corporates remain less leveraged, with no significant rise in debt levels. Most of the capex is being funded through internal accruals or equity issuance. Overall, the health of domestic corporates still looks strong, especially considering the global back-

drop,” says Hitesh Jain, Strategist, Institutional Equities Research, YES Securities.

## POST-COVID RECOVERY

Over the past five years, Indian companies have improved their ability to meet debt obligations. As per the Bank of Baroda's economics research department, the interest cover ratio, defined as PBIT to interest payments, showed a continuous increase from 3.77 in FY20 to 6.78 in FY25. In the past three years, the gross debt of India Inc (ex-BFSI) has declined by 45% to ₹44 lakh crore from ₹80 lakh crore in FY22.

Experts believe that while rising crude prices may pose near-term risks to inflation and private capex recovery, Indian corporates are better positioned now to navigate external shocks. After falling around 1.5% in 2024, Brent crude oil prices have advanced nearly 4% in 2025 so far.

India has been relatively insulated from geopolitical tensions by virtue of being one of the largest and fastest-